KO 1 3.9.1 | Growth & Retrenchment

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

REASONS TO GROW

Economies of scale and lower unit costs.

Greater market power over suppliers and customers.

Spreading risk across more products or markets.

Higher profits and rewards for owners and managers.

Survival - avoiding being taken over.

REASONS TO RETRENCH

Retrenchment means cutting back the scale of the business, e.g. closing sites, selling divisions, reducing staff.

Reasons: falling demand, losses, diseconomies of scale, a need to raise cash or focus on core activities.

ORGANIC AND EXTERNAL GROWTH

Organic growth - growing from within, e.g. opening new stores, launching new products. Lower risk, keeps control and culture, but slow.

External growth - joining with or buying other businesses. Fast, brings new skills and markets, but costly and risky.

IMPACT ON FUNCTIONAL AREAS

Marketing - wider range of markets and products to manage.

Operations - capacity, supply chains and quality across more sites.

Finance - funding the growth, cash flow pressures.

HR - recruitment, training, structure and culture; retrenchment means redundancies and lower morale.

EXAM TRAP

Growth is not automatically good. A business can grow too large and suffer diseconomies of scale, or grow too fast and run out of cash.

ANALYSIS CHAIN

Organic growth through new stores → more sales without taking on another firm's problems → culture and control kept → but growth is slow and rivals may move faster.

TOP GRADE CONNECTION

Judge growth by whether it fits the business's objectives and resources. For some owners, staying small and profitable is a sensible choice.

KO 2 3.9.1 | Economies, Diseconomies & Overtrading

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

ECONOMIES OF SCALE

Unit costs fall as the scale of the business increases.

Technical - larger, more efficient equipment and production methods.

Purchasing - bulk-buying discounts.

Managerial - can afford specialist managers.

ECONOMIES OF SCOPE AND SYNERGY

Economies of scope - lower costs from producing a range of products, by sharing resources such as distribution, brand or staff.

Synergy - when two businesses or activities combined achieve more than they would separately (2 + 2 = 5), e.g. after a merger.

DISECONOMIES OF SCALE

Unit costs rise as the business grows too large.

Causes: poor communication through many layers, coordination problems, lower motivation as staff feel less valued.

OVERTRADING

When a business grows faster than its working capital can support.

It takes on more orders than it can finance, so it runs short of cash to pay suppliers and wages - even though sales and profit are rising.

EXAM TRAP

Economies of scope are not economies of scale. Scope comes from a range of products sharing resources; scale comes from producing more of the same.

ANALYSIS CHAIN

Growth → more layers of management → slower, distorted communication → poor coordination and lower morale → unit costs start to rise → diseconomies of scale.

TOP GRADE CONNECTION

Synergy is often promised but not achieved. Judge whether the expected cost savings are realistic and whether culture clashes could cancel them out.

KO 3 3.9.1 | Methods & Types of Growth

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

METHODS OF EXTERNAL GROWTH

Merger - two businesses agree to join together as one.

Takeover - one business buys a controlling interest in another.

Joint venture - two businesses set up a separate project or business together, sharing costs and risks.

Franchising - the franchisor lets franchisees use its brand and business model in return for fees. Fast growth with less capital, but less control.

HORIZONTAL AND CONGLOMERATE

Horizontal integration - joining with a business at the same stage of production in the same industry. Gains market share and economies of scale, but may face competition authorities.

Conglomerate integration - joining with a business in an unrelated industry. Spreads risk, but the business may lack expertise in the new area.

VERTICAL INTEGRATION

Backward - buying a supplier. Secures supplies, controls quality and cost, reduces supplier power.

Forward - buying a business closer to the customer, e.g. a retailer. Controls distribution and gains access to customers.

ASSESSING THE METHODS

Speed, cost, control, risk and fit with objectives.

Many mergers and takeovers fail to add value because of culture clashes, overpaying and integration problems.

EXAM TRAP

Get the direction right. Buying a supplier is backward vertical integration; buying a retailer that sells your products is forward vertical integration.

ANALYSIS CHAIN

Horizontal takeover of a rival → larger market share → purchasing economies of scale → lower unit costs → but culture clashes may reduce the expected savings.

TOP GRADE CONNECTION

The method matters as much as the decision to grow. Franchising may achieve fast growth with little capital; a takeover gives control but at high cost and risk.

KO 4 3.9.2 | Innovation

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

TYPES OF INNOVATION

Product innovation - new or improved goods and services.

Process innovation - new or improved ways of producing or delivering them.

PRESSURES FOR INNOVATION

Competitors launching new products.

Changing customer tastes and expectations.

New technology.

Shorter product life cycles.

Pressure to cut costs or meet environmental targets.

THE VALUE OF INNOVATION

Product innovation can create differentiation, allow higher prices and open new markets.

Process innovation can cut costs, improve quality and speed up production.

But it is costly and uncertain - many innovations fail.

IMPACT ON FUNCTIONAL AREAS

Marketing - research, launch and promotion of new products.

Operations - new equipment and processes.

Finance - funding R&D with no guaranteed return.

HR - recruiting skilled staff, training, a culture that encourages ideas.

EXAM TRAP

Innovation is not only about new products. Process innovation can be just as valuable, especially for a business competing on cost.

ANALYSIS CHAIN

Process innovation → faster production with fewer faults → lower unit costs → cost advantage over rivals → higher margins or lower prices.

TOP GRADE CONNECTION

Judge innovation by whether it creates value customers will pay for and whether the business can protect it long enough to earn a return.

KO 5 3.9.2 | Becoming Innovative & Protecting Ideas

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

KAIZEN AND R&D

Kaizen - continuous improvement through many small changes, usually suggested by staff.

Research and development - investing in scientific and technical work to create new products and processes. Can lead to breakthroughs, but expensive and uncertain.

INTRAPRENEURSHIP AND BENCHMARKING

Intrapreneurship - encouraging employees to act like entrepreneurs inside the business, developing and running new ideas.

Benchmarking - comparing the business's performance and methods with the best in the industry or beyond, then adopting better practices.

BUILDING AN INNOVATIVE CULTURE

Leadership that encourages ideas and accepts that some will fail.

Time and money for staff to develop ideas.

Flatter structures and good communication.

PROTECTING INNOVATION

Patents - give the owner the sole right to make and sell an invention for a set period. Others must pay to use it.

Copyright - protects original written, musical, artistic and other creative work automatically.

Protection lets the business earn a return on its investment, but patents are costly, must be defended and the design becomes public.

EXAM TRAP

Kaizen is many small, continuous improvements - not a single big change. Benchmarking means learning from others, not copying their products.

ANALYSIS CHAIN

Patent granted on a new process → rivals can't legally copy it → business keeps its cost advantage for years → returns on R&D are protected.

TOP GRADE CONNECTION

The right approach depends on the business. Kaizen suits steady improvement in established processes; R&D and intrapreneurship suit businesses that need breakthroughs.

KO 6 3.9.3 | Globalisation & Emerging Economies

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

WHAT GLOBALISATION MEANS

The growing integration of economies around the world through trade, investment, the movement of people and the spread of technology.

REASONS FOR GREATER GLOBALISATION

Fewer trade barriers and more trade agreements.

Cheaper, faster transport and communications.

Growth of the internet and e-commerce.

Growth of multinational businesses and global brands.

IMPORTANCE FOR BUSINESS

Larger markets and more customers.

Access to cheaper materials and labour.

Economies of scale.

But more foreign competition and greater exposure to events in other countries.

EMERGING ECONOMIES

Economies growing quickly as they industrialise.

Importance - fast-growing middle classes with rising incomes, large populations, lower costs, and new competitors emerging from them.

Risks can include political instability, weaker legal systems and poorer infrastructure.

EXAM TRAP

Globalisation is not just selling abroad. It also affects where businesses buy materials, produce goods and recruit staff - and brings foreign competition into the home market.

ANALYSIS CHAIN

Rising incomes in an emerging economy → growing demand for branded consumer goods → UK firm enters the market → sales growth → but must adapt to local tastes and competition.

TOP GRADE CONNECTION

Emerging economies offer growth but also risk. Judge the balance using the business's resources, its experience abroad and the specific market's stability.

KO 7 3.9.3 | Entering International Markets

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

REASONS TO TRADE INTERNATIONALLY

Saturated home market, so growth must come from abroad.

Spreading risk across different economies.

Economies of scale from higher output.

Extending the product life cycle in new markets.

ATTRACTIVENESS OF A MARKET

Size and growth of the market and levels of income.

Competition.

Ease of doing business - laws, political stability, trade barriers.

Infrastructure, culture, language and exchange rate risk.

METHODS OF ENTRY

Exporting - selling products made at home to overseas customers. Low risk but less control.

Licensing - allowing a foreign firm to make the product for a fee. Low cost, but less control and risk of the idea being copied.

Alliances - working with a local partner, sharing knowledge and risk, but sharing control and profit.

Direct investment - setting up or buying operations abroad. Full control, but high cost and risk.

BECOMING A MULTINATIONAL

A multinational has operations in more than one country.

Benefits: close to customers, avoids trade barriers, lower costs. Drawbacks: high investment, harder to manage, may face criticism over ethics or tax.

EXAM TRAP

Licensing is not exporting. With licensing the foreign firm makes the product; with exporting the business makes it at home and sends it abroad.

ANALYSIS CHAIN

Alliance with a local distributor → access to local knowledge and contacts → faster market entry and lower risk → but profit and control are shared.

TOP GRADE CONNECTION

The right entry method depends on how much control, risk and investment the business is prepared to accept. Many firms start by exporting and move to direct investment as they learn the market.

KO 8 3.9.3 | Producing Abroad & Managing International Business

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

OFF-SHORING AND RE-SHORING

Off-shoring - moving production or services to another country, usually to cut costs. Lower labour and other costs, but longer supply chains, quality concerns and possible reputational damage.

Re-shoring - bringing production back home. Faster, more reliable supply and better quality control, 'made in the UK' appeal, but higher costs.

REASONS FOR PRODUCING AND SOURCING ABROAD

Lower labour and material costs.

Access to skills or resources not available at home.

Being closer to overseas customers.

Avoiding tariffs and other trade barriers.

INFLUENCES ON BUYING, SELLING AND PRODUCING ABROAD

Costs, exchange rates, trade barriers, transport and lead times.

Political stability, laws and regulation.

Infrastructure and the skills of the local workforce.

Ethical issues, e.g. working conditions in supplier factories.

PRESSURES IN MANAGING INTERNATIONAL BUSINESS

Pressure for local responsiveness - adapting products, marketing and operations to local tastes, cultures and laws.

Pressure for cost reduction - standardising products and processes across countries to gain economies of scale.

Businesses must balance the two.

EXAM TRAP

Off-shoring does not always reduce costs overall. Transport, quality problems, longer lead times and management costs can cancel out lower wages.

ANALYSIS CHAIN

Strong pressure for local responsiveness → products adapted for each country → better fit with local tastes → higher sales → but fewer economies of scale and higher unit costs.

TOP GRADE CONNECTION

Recent supply chain disruptions have led some firms to re-shore. Judge the decision by balancing cost against reliability, speed and reputation.

KO 9 3.9.4 | Digital Technology

AQA A-LEVEL BUSINESS 7132 - UNIT 3.9 STRATEGIC METHODS: HOW TO PURSUE STRATEGIES

TYPES OF DIGITAL TECHNOLOGY

Automation - machines and software doing tasks once done by people.

E-commerce - buying and selling online.

Big data - very large sets of data collected from customers, sales, devices and websites.

Data mining - analysing big data to find patterns, e.g. what customers buy together.

PRESSURES TO ADOPT

Competitors using it to cut costs or improve service.

Customers expecting online ordering and personalised offers.

Falling cost of technology.

Pressure to raise productivity and cut costs.

THE VALUE OF DIGITAL TECHNOLOGY

Lower costs and higher productivity.

Better understanding of customers, more targeted marketing.

Access to wider markets through e-commerce.

Faster, better-informed decisions.

DIFFICULTIES

High set-up costs and the need for new skills.

Staff resistance and possible job losses.

Data security, privacy and ethical concerns.

Rapid change means technology can become out of date quickly.

EXAM TRAP

Big data is only useful once it has been analysed. Collecting data is not the same as using it - data mining turns it into information for decisions.

ANALYSIS CHAIN

Data mining of customer purchases → patterns identified → personalised offers sent → higher conversion rates → more revenue per customer.

TOP GRADE CONNECTION

Digital technology rarely gives a lasting advantage on its own because rivals can buy the same systems. The advantage comes from how well the business uses it.